

TABLE 6.47 Sector results 2013

	Currencies	Agriculture	Non-Agriculture	Equities	Rates	All sectors
Long	-2.6	-2.8	-5.3	22.4	-9.4	2.3
Short	1.9	3.9	1.0	-1.4	-5.4	0.1
Total	-0.8	1.1	-4.0	20.6	-14.6	2.2

TABLE 6.48 Results 2013

	US\$	Percentage
Starting NAV	55,726,577	557.27
Trading result	1,238,093	2.20
Interest income	108,578	0.20
Management fee	841,119	1.50
Performance fee	—	0.00
Net result	505,553	0.90
Ending NAV	56,232,130	562.30

The end-of-year trading gains were 2.2%, and we got a tiny interest contribution of 0.2%, for a 2.4% portfolio value increase before fees (Table 6.47). Our management fee eats up most of this, leaving less than a percent net gains to investors. Note that we get no performance fee at all, since we haven't reached the old high-water mark from 2011 yet.

All we got paid this year was a management fee of \$840,000 (Table 6.48). Perhaps that still sounds like a lot of money, but in the context of managing US\$55 million, it's really tiny. Imagine if you had managed only US\$5.5 million, and got paid US\$84,000. Now pay the office rent, the market data, the staff, legal, compliance, and your loss is probably quite substantial.

■ 2014

By the end of 2012, this whole idea of running a futures trading business probably seemed like a lot of fun. We were creating money out of thin air, massively outperforming the stock markets and making substantial gains not only for investors but also for ourselves. And now, after two horrible years, no one will remember it. Now we're the losers who failed to perform, fell behind benchmark, and we're probably even in economic trouble. Last year we got paid US\$840,000 on a US\$55 million portfolio. Having managed a